

October 01, 2026

AU Small Finance Bank Limited: Rating reaffirmed and outlook revised to Positive from Stable; rating assigned to Rs. 100-crore infrastructure bonds

Summary of rating action

Instrument*	Previous rated amount (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial sector regulator [#]
Basel II Lower Tier II bonds	1,004.00	1,004.00	[ICRA]AA (Positive); reaffirmed and outlook revised to Positive from Stable	SEBI
Infrastructure bonds	-	100.00	[ICRA]AA (Positive); assigned	SEBI
Total	1,004.00	1,104.00		

*Instrument details are provided in Annexure I

[#] SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI

Rationale

The rating action factors in AU Small Finance Bank Limited's (AUSFB) improving scale and established retail asset franchise, along with a track record of maintaining a prudent financial risk profile, supported by adequate capitalisation and healthy earnings trajectory. The bank's credit profile is further supported by its predominantly secured retail loan book, track record across key lending segments, and improving asset quality indicators. The bank reported a compounded annual growth rate of around 30% in its gross loan portfolio (GLP) between March 2021 and March 2026 (GLP stood at Rs. 1,44,250 crore as on June 30, 2026), while deposits increased by 34% during this period. It has experience of nearly three decades in the vehicle finance segment and two decades in the micro, small and medium enterprise (MSME) segment. The share of secured retail loans stood at 67% of the bank's GLP as on June 30, 2026. Further, in-principle approval received from the Reserve Bank of India (RBI) for AUSFB's transition into a universal bank is expected to strengthen its competitive positioning and support the continued diversification of its franchise. The transition is expected to be completed in FY2027. ICRA expects AUSFB to maintain its growth momentum and scale up its GLP by 20-25% per annum over the medium term with a continued focus on the current target borrower segments.

While AUSFB's reported gross non-performing assets (NPA) increased in FY2025, primarily due to stress in the microfinance and digital unsecured businesses, its asset quality has gradually improved with gross NPAs declining to 2.1% as on June 30, 2026 (net NPA of 0.8%) from 2.5% as on June 30, 2025 (net NPA of 0.9%; 1.8% and 0.6%, respectively, as of June 2024). Further, ~96% of the bank's microfinance (MFI) portfolio is covered under the Credit Guarantee Fund for Micro Units (CGFMU), which is likely to help contain the credit costs in this segment. ICRA notes that the bank has also been gradually expanding its product offerings over the years, adding new products like gold loans, home loans, renewable energy loans, personal loans, credit cards and business banking etc. AUSFB's ability to maintain asset quality as it grows in these segments remains monitorable.

As on June 30, 2026, AUSFB's reported capital adequacy ratio (CAR) of 18.9% (Tier I: 17.1%) was well above the regulatory requirement of 15.0% (Tier I: 7.5%). In ICRA's opinion, the bank is adequately capitalised at present and is expected to maintain adequate capital buffers even after its transition to a universal bank. AUSFB would, however, have to raise capital over the medium term in view of its growth plans. Its earnings profile remains healthy with return on assets (RoA) at 1.6%¹ (annualised) in Q1 FY2027 (1.5%¹ in FY2026 as well as in FY2025). While ICRA expects credit costs to remain slightly elevated in FY2027, the

¹ As per ICRA's calculations

bank should be able to maintain its earnings profile, supported by healthy margins and gradually improving operating efficiency.

ICRA notes the healthy traction in deposit mobilisation by the bank over the years. Nevertheless, the share of current account and savings account (CASA) remained relatively moderate at 29% as on June 30, 2026 (against 33% as on March 31, 2024). Also, the share of bulk deposits² was relatively high at 42% as on June 30, 2026 (against 43% as on March 31, 2026).

The Positive outlook on the long-term rating reflects ICRA's opinion that AUSFB would continue to scale up its operations while maintaining a healthy profitability and a prudent capitalisation profile.

Key rating drivers and their description

Credit strengths

Established retail asset franchise with track record of comfortable asset quality – AUSFB operates in the retail asset segments and has experience of nearly three decades in vehicle financing and two decades in MSME financing. It has gradually expanded its product offerings over the years and has added new products like gold loans, home loans, renewable energy loans, personal loans, consumer durables loans etc. Further, the bank has received in-principle approval from the RBI for its transition into a universal bank. ICRA notes that AUSFB aims to complete this transition in FY2027. Nonetheless, the bank's focus will remain on secured retail assets, which comprised 67% of the GLP as on June 30, 2026. Vehicle financing and mortgage-backed micro business loans continue to dominate the retail asset portfolio, accounting for 34% and 25%, respectively, of the GLP as of June 2026. ICRA expects these segments to continue to dominate the retail asset portfolio as the bank scales up its GLP by 20-25% per annum over the medium term.

While reported gross NPAs had increased in FY2025, primarily on account of stress in the microfinance and digital unsecured businesses, asset quality has gradually improved with gross NPAs declining to 2.1% as on June 30, 2026 (net NPAs of 0.8%) from 2.5% as on June 30, 2025 (net NPAs of 0.9%; 1.8% and 0.6%, respectively, as of June 2024). Further, ~96% of the bank's MFI portfolio is covered under CGFMU, which is likely to help contain the credit costs in this segment. Nonetheless, the bank's ability to maintain asset quality as it scales up the relatively newer segments remains monitorable.

Adequate capitalisation profile – The bank's CAR of 18.9% (Tier I: 17.1%), as on June 30, 2026, was well above the regulatory requirement of 15.0% (Tier I: 7.5%). Also, ICRA draws comfort from AUSFB's track record of capital raising. The bank last raised ~Rs. 2,000 crore of equity capital in FY2023 through a qualified institutional placement, which helped it maintain a prudent capitalisation profile while scaling up its portfolio. Post AUSFB's transition to a universal bank, the CAR requirement would be lower, but it would have to provide for operational and market risks as per Basel III requirements. In ICRA's opinion, AUSFB would be adequately capitalised even after its transition to a universal bank. It would, however, have to raise capital over the medium term for meeting its growth plans.

Healthy earnings profile – AUSFB has been able to maintain a healthy earnings profile, supported by its margins. While the cost of average interest-bearing funds remained largely stable in Q1 FY2027, the bank reported an improvement in its net interest margin (NIM) to 5.5% in Q1 FY2027 from 5.2% in FY2026 (5.6% in FY2025) on account of change in the portfolio mix towards relatively higher yielding segments and improving asset quality. The earnings profile is also supported by healthy fee-based income, which stood at 1.4% in Q1 FY2027 (1.7% in FY2026; 1.8% in FY2025). The operational expenses (on average total assets) reduced to 4.0% in Q1 FY2027 (4.0% in FY2026) from 4.5% in FY2024. AUSFB is expected to have some scale benefits on operational expenses, going forward. Nevertheless, keeping costs under control in view of the growth and transition to a universal bank will be a key monitorable.

Credit costs, which increased in FY2025 owing to stress in the unsecured loan book, reduced in FY2026 and Q1 FY2027. The overall earnings profile remained healthy with an RoA of 1.6%³ (annualised) in Q1 FY2027 (1.5%³ in FY2026 as well as in FY2025). While ICRA expects credit costs to remain somewhat elevated in FY2027, AUSFB is expected to maintain a healthy

² Including certificates of deposit

³ As per ICRA's calculations

earnings profile over the near-to-medium term, supported by its healthy margins and a gradual improvement in operating efficiency.

Credit challenges

Relatively moderate CASA and retail deposits – AUSFB has successfully built a large deposit base, constituting 92% of its external borrowings⁴ as on June 30, 2026, up from 84% as on March 31, 2021. The bank continues to scale up its deposit franchise and reported a healthy year-on-year (YoY) growth of 24% in deposits in Q1 FY2027. The overall deposit base increased to Rs. 1,57,727 crore as on June 30, 2026 from Rs. 1,52,661 crore as on March 31, 2026. AUSFB's focus has been on building a stable retail deposit franchise. Nevertheless, the share of CASA has been declining, a trend witnessed across the industry, and was relatively low at 29% as on June 30, 2026 (33% as on March 31, 2024). Also, the share of bulk deposits⁵ in total deposits was relatively high at 42% as on June 30, 2026 (43% as on March 31, 2026), though around 51% of the bulk deposits was non-callable.

Environmental and social risks

Environmental considerations – Given AUSFB's service-oriented business, its direct exposure to environmental risks as well as those stemming from regulations or policy changes is not material. While the bank is not materially exposed to physical climate risks, it indirectly encounters environmental risks through its portfolio of assets. Further, its lending involves short-to-medium-term durations, enabling it to adjust and incrementally invest in less environmentally vulnerable businesses.

Social considerations – Data security and customer privacy are among the key sources of vulnerability for AUSFB as any material lapse could be detrimental to its reputation and could invite regulatory censure. Customer preference is increasingly shifting towards digital banking, which provides an opportunity to reduce the operating costs. However, ineffective execution of information technology strategies and inadequate fulfillment of customer requirements may result in costs exceeding the anticipated benefits. On the positive side, AUSFB contributes to the enhancement of financial inclusion by providing several products and services that are specifically targeted towards the marginalised sections of the society and attempts to address and cater to social concerns. Prudent lending to such under-served segments could create growth opportunities. However, these opportunities must be seen in conjuncture with asset quality risks that could impact the bank's credit quality.

Liquidity position: Strong

The average liquidity coverage ratio was healthy at 119% for the quarter ended June 30, 2026 (119% for the quarter ended March 31, 2026). The net stable funding ratio stood at 111% as on June 30, 2026 (109% for the quarter ended March 31, 2026), remaining above the regulatory requirement of 100%. AUSFB's liquidity profile is supported by its strong borrowing ability owing to its 'scheduled' status and healthy deposit renewal rate. The liquidity profile is also supported by the availability of funding lines from financial institutions.

Rating sensitivities

Positive factors – A significant scale-up in the operations and an improvement in deposit granularity, while maintaining healthy profitability and prudent capitalisation, could positively impact the rating.

Negative factors – Deterioration in the asset quality or profitability (RoA below 1.2%) on a sustained basis could negatively impact the rating. A decline in the capital cushion to less than 3%, in relation to the Tier I regulatory levels, on a sustained basis could also negatively impact the rating.

⁴ Including deposits

⁵ Including certificates of deposit

Analytical approach

Analytical approach	Comments
Applicable rating methodologies	Banks and financial institutions
Parent/Group support	Not applicable
Consolidation/Standalone	Standalone

About the company

AU Small Finance Bank (AUSFB) is a scheduled commercial bank that transitioned to a small finance bank (SFB) from an asset financing non-banking financial company (NBFC). While it was incorporated in 1996 as an NBFC, it commenced SFB operations on April 19, 2017, after receiving the final licence on December 20, 2016. The RBI had granted in-principle approval in September 2015. AUSFB was listed on the stock exchanges in July 2017 and was granted scheduled commercial bank status in November 2017.

During its early years of operations, AUSFB [formerly AU Financiers (India) Limited] was primarily engaged in vehicle financing through funds raised from high-net-worth individuals in Jaipur. Over the years, it raised equity from private investors at regular intervals and expanded its product portfolio. AUSFB has an established market position in Rajasthan and has expanded its operations to Maharashtra, Gujarat, and other states over the years. As on June 30, 2026, it had 2,920 touchpoints across 21 states and four Union Territories.

AUSFB operates in the retail asset financing segment, with the vehicle financing segment accounting for 34% of its GLP as on June 30, 2026. Its product portfolio also includes micro business loans, home loans, loans to NBFCs, loans to real estate groups, business banking, renewable energy loans, credit cards, personal loans, etc. AUSFB's liability product offerings include current accounts, savings accounts, recurring & term deposits, transaction banking, and insurance covers, among others.

AU reported a profit after tax (PAT) of Rs. 2,641 crore on a total asset base of Rs. 1,91,797 crore in FY2026. It reported a PAT of Rs. 796 crore in Q1 FY2027 on a total asset base of Rs. 1,97,125 crore compared to Rs. 581 crore and Rs. 1,60,813 crore, respectively, in Q1 FY2026.

Key financial indicators

AUSFB	FY2025	FY2026	Q1 FY2027
Total income	18,590	21,614	5,992
PAT	2,106	2,641	796
Total assets	1,57,846	1,91,797	1,97,125
CET I	18.1%	16.9%	17.1%
CRAR	20.1%	18.7%	18.9%
PAT/ATA	1.5%	1.5%	1.6%
Gross NPAs	2.3%	2.0%	2.1%
Net NPAs	0.7%	0.7%	0.8%

Source: AU, ICRA Research; All ratios are as per ICRA's calculations; Amount in Rs. crore

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Instrument	Current (FY2027)			Chronology of rating history for the past 3 years					
				FY2026		FY2025		FY2024	
	Type	Amount rated (Rs. crore)	Oct-01-26	Date	Rating	Date	Rating	Date	Rating
Basel II Lower Tier II bonds	Long term	1,004.00	[ICRA]AA (Positive)	Feb-26-2026	[ICRA]AA (Stable)	Feb-27-2025	[ICRA]AA (Stable)	-	-
						May-17-2024	[ICRA]AA (Stable)		
Infrastructure bonds	Long term	100.00	[ICRA]AA (Positive)						

Complexity level of the rated instruments

Instrument	Complexity indicator
Basel II Lower Tier II bonds	Simple
Infrastructure bonds	Simple

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

ISIN	Instrument name	Date of issuance/Sanction	Coupon rate	Maturity date	Amount rated (Rs. crore)	Current rating and outlook	Financial sector regulator#
INE949L08459	Basel II Lower Tier II bonds	Mar-28-2025	9.20%	Mar-28-2035	770.00	[ICRA]AA (Positive)	SEBI
INE519Q08194	Basel II Lower Tier II bonds	Aug-23-2023	10.7%	Feb-23-2029	60.00	[ICRA]AA (Positive)	SEBI
INE519Q08160	Basel II Lower Tier II bonds	Jun-15-2023	10.75%	Dec-15-2028	49.00	[ICRA]AA (Positive)	SEBI
INE519Q08178	Basel II Lower Tier II bonds	Jul-05-2023	10.75%	Jan-05-2029	75.00	[ICRA]AA (Positive)	SEBI
INE519Q08186	Basel II Lower Tier II bonds	Aug-09-2023	10.75%	Feb-09-2029	50.00	[ICRA]AA (Positive)	SEBI
Yet to be placed	Infrastructure bonds	NA	NA	NA	100.00	[ICRA]AA (Positive)	SEBI

Source: AUSFB

SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI

Annexure II: List of entities considered for consolidated analysis - Not applicable

ANALYST CONTACTS

Ashish Modani

+91 22 6114 3444

ashish.modani@icraindia.com

Deep Inder Singh

+91 124 4545 830

deep.singh@icraindia.com

Prateek Mittal

+91 33 6521 6812

prateek.mittal@icraindia.com

Arpit Agarwal

+91 124 4545 873

arpit.agarwal@icraindia.com

RELATIONSHIP CONTACT

L. Shivakumar

+91 22 6114 3406

shivakumar@icraindia.com

MEDIA AND PUBLIC RELATIONS CONTACT

Ms. Naznin Prodhani

Tel: +91 124 4545 860

communications@icraindia.com

HELPLINE FOR BUSINESS QUERIES

+91-9354738909 (open Monday to Friday, from 9:30 am to 6 pm)

info@icraindia.com

ABOUT ICRA LIMITED

ICRA Limited was set up in 1991 by leading financial/investment institutions, commercial banks and financial services companies as an independent and professional investment Information and Credit Rating Agency.

Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

For more information, visit www.icra.in

ICRA Limited



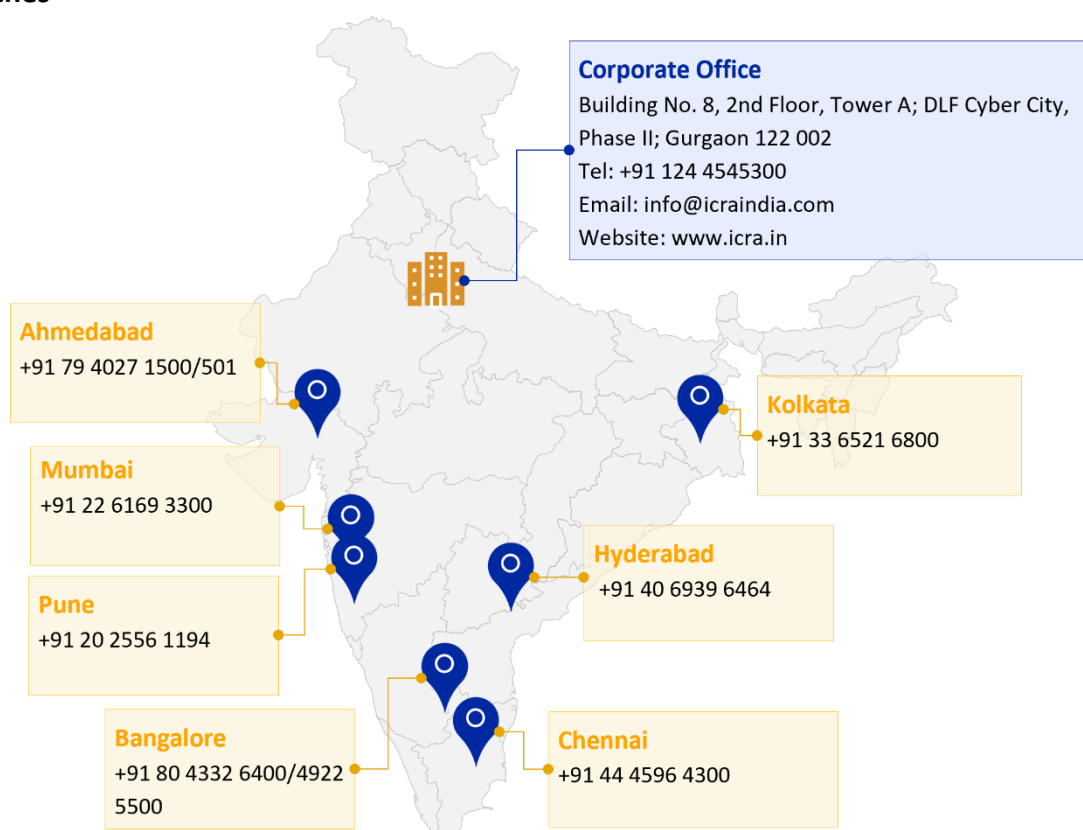
Registered Office

B-710, Statesman House, 148 Barakhamba Road, New Delhi-110001

Tel: +91 11 23357940-45



Branches



© Copyright, 2026 ICRA Limited. All Rights Reserved.

Contents may be used freely with due acknowledgement to ICRA.

ICRA ratings should not be treated as recommendation to buy, sell or hold the rated debt instruments. ICRA ratings are subject to a process of surveillance, which may lead to revision in ratings. An ICRA rating is a symbolic indicator of ICRA's current opinion on the relative capability of the issuer concerned to timely service debts and obligations, with reference to the instrument rated. Please visit our website www.icra.in or contact any ICRA office for the latest information on ICRA ratings outstanding. All information contained herein has been obtained by ICRA from sources believed by it to be accurate and reliable, including the rated issuer. ICRA however has not conducted any audit of the rated issuer or of the information provided by it. While reasonable care has been taken to ensure that the information herein is true, such information is provided 'as is' without any warranty of any kind, and ICRA in particular, makes no representation or warranty, express or implied, as to the accuracy, timeliness or completeness of any such information. Also, ICRA or any of its group companies may have provided services other than rating to the issuer rated. All information contained herein must be construed solely as statements of opinion, and ICRA shall not be liable for any losses incurred by users from any use of this publication or its contents.